AquaGlobal

Your Ultimate Banking Solution

From Intent to Execution

How Banks Can Close the Gap Between Modernisation Ambition and Operational Reality

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Executive summary

Banks know what the future of payments looks like: faster, automated and built around real-time data. Not just to meet evolving regulation and Swift requirements, but to deliver the seamless experiences customers now expect.

But ambition and execution are drifting further apart. Many banks are still running payments operations on legacy infrastructure, fragmented systems and manual reconciliation workflows designed for a different era. At the same time, skills shortages, rising operational complexity and mounting cost pressures are making transformation harder to deliver.

The result is growing operational strain. Manual intervention costs are rising, reconciliation delays are slowing real-time payments ambitions, and skilled teams are increasingly focused on firefighting rather than innovation.

Across the industry, there is growing recognition that incremental change is no longer enough. To remain competitive, banks are prioritising automation, operational visibility and modernisation. As a result, real-time reconciliation, better data quality and integrated orchestration are emerging as critical foundations for the future of payments.

Based on insights from 150 UK and European banking IT leaders, this report explores how prepared financial institutions are for this shift and what must change to build faster, more resilient and truly real-time payments operations.

Key stats

85%

say automation will determine which banks stay competitive in cross-border payments.

74%

say the cost of manual intervention is rising faster than investment in automation.

81%

say data quality will become a bigger differentiator than processing speed.

71%

say siloed systems make it impossible to see the full lifecycle of a payment.

1 in 3

say reconciliation issues still take over a day to resolve.

Modernisation is becoming a competitive necessity

The pressure on banks to modernise has never been greater. Consumer expectations are rising, regulatory demands are expanding and competition is increasing.

Across the industry, there is growing recognition that incremental change is no longer enough. Modernisation is now seen as the baseline requirement for remaining relevant, particularly when it comes to customer expectations.

78%

78% of banking IT leaders think banks that fail to modernise risk falling behind on customer experience.

Preparing for regulatory deadlines, increasing STP performance and reducing operational costs now rank among banks' top modernisation priorities, alongside improving data quality, reconciliation automation and orchestration (see ***Fig 1.***).

Fig 1. *Top Ten Priorities for Modernising Payment Operations Over the Next 12–24 months*

Priority	**Respondents ranking in top 3**
Preparing for upcoming regulatory deadlines	39%
Increasing STP performance	38%
Reducing operational cost	33%
Improving data quality and transparency	31%
Integrating new services and APIs	30%
Improving message orchestration	27%
Enhancing exception management	27%
Consolidating messaging and reconciliation systems	26%
Improving reconciliation automation	23%
Improving matching automation	21%

*Ranked in top 3 priorities

To achieve these modernisation goals, banks are increasingly focused on automating the payment lifecycle, reducing manual intervention and improving data quality and operational visibility.

85%

85% believe automation will determine which banks remain competitive in cross-border payments.

The perceived benefits of automation are clear: higher STP rates, lower operational costs and faster exception resolution all rank among the top gains expected from automating matching, reconciliation and payment processing (see ***Fig 2.***).

Fig 2. *Benefits Experienced or Expected from Automating Matching, Reconciliation and Payment Processing*

Benefit	**Respondents ranking in top 3**
Higher STP rates	49%
Reduced operational costs	46%
Faster exception resolution	44%
Improved data quality	42%
Better regulatory compliance	39%
Improved auditability	38%
Enhanced customer experience	35%

“What’s striking is how aligned banks are on what modernisation needs to look like. They know they need faster, more automated and more resilient payment operations. The banks addressing those operational foundations now are the ones that will define the future of cross-border payments over the next five years.

Cian Fernando
CEO, Aqua Global”

The automation gap: high awareness, limited action

Banks increasingly view automation as essential to improving operational resilience, scalability and competitiveness. Yet many institutions are still working with tools and processes that were never designed for today's payments environment.

63%

63% of banking IT leaders say they still depend on outdated formats and messaging systems that should have been retired years ago.

Full automation remains rare across much of the payment lifecycle. While many banks are stuck in a middle ground where individual tasks have been automated, but fragmentation and manual dependency remain underneath (see ***Fig 3.***).

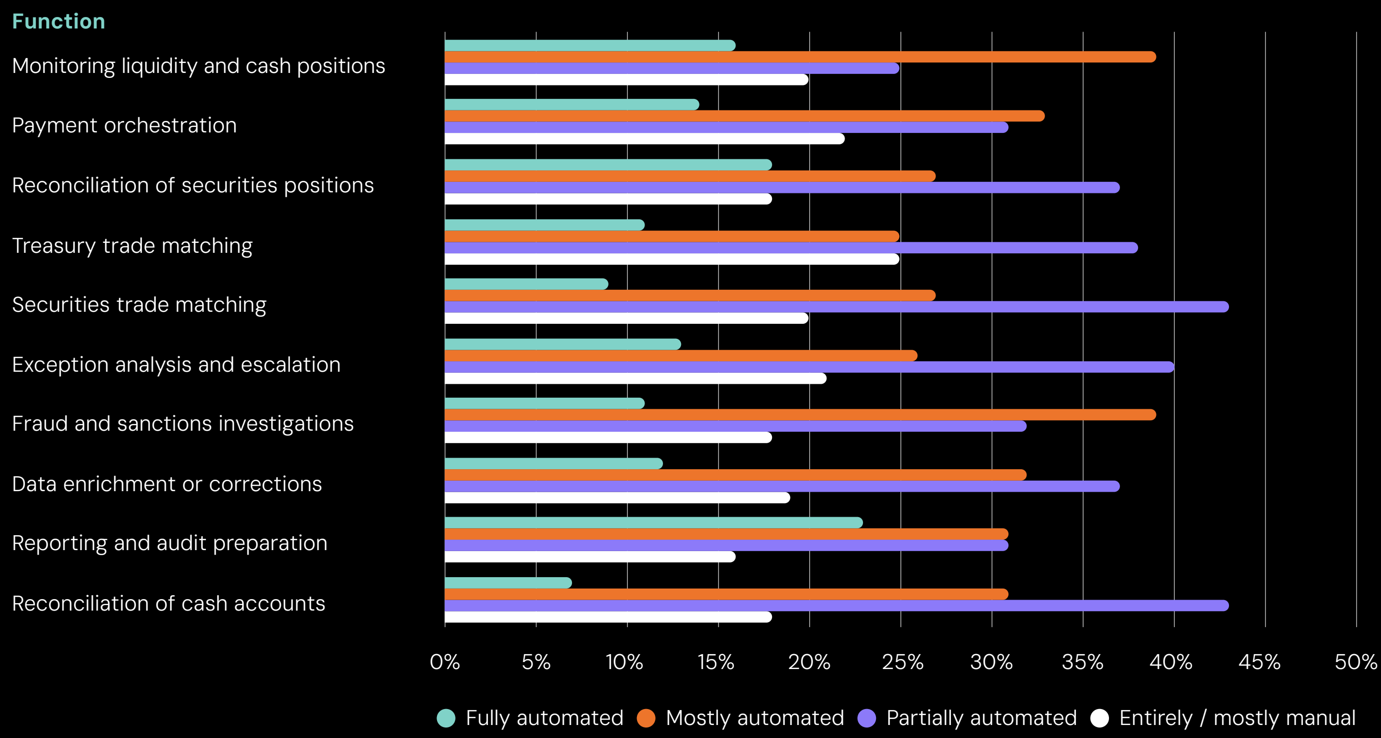
7%

Only 7% of banks have fully automated monitoring liquidity and cash positions.

A significant minority of banks are still heavily reliant on manual processes across critical functions. For example:

- 25% of banks say fraud and sanctions investigations remains mostly or fully manual.
- 22% say the same for reporting and audit preparation.
- 21% say securities trade matching also remains largely manual.

__Fig 3.__ Current Levels Of Automation Across Key Payment Functions



Several challenges continue to slow automation efforts. Legacy system limitations emerged as the biggest barrier, cited by over half of respondents, followed closely by lack of internal skills (50%) and budget constraints (46%) (see ***Fig 4.***).

Together, the findings suggest many institutions are trying to modernise complex payment operations while still constrained by fragmented infrastructure, operational silos and stretched internal teams.

__Fig 4.__ Barriers Impacting Banks' Ability to Increase Automation

Top barriers to increasing automation:	**Respondents ranking in top 3**
Legacy system limitations	52%
Lack of internal skills	50%
Budget constraints	46%
Resistance to change	41%
Inadequate orchestration tools	39%
Competing regulatory priorities	34%
Unclear ownership or governance	30%

Banks know what good looks like, but most are still a long way from it. Partial automation has helped many institutions feel like they're moving forward by improving efficiency around the edges, but fragmentation and manual dependency continue to slow their progress.

Cian Fernando
CEO, Aqua Global

The operational cost of manual payments is rising

The operational strain caused by manual processing is becoming increasingly difficult for banks to absorb. As payment volumes rise and real-time expectations increase, manual workflows are driving growing levels of cost, delay and complexity across the payments' lifecycle.

74%

74% say manual processing is the single biggest barrier to real-time payments.

74%

74% say the cost of manual intervention is rising faster than the investment needed to automate it.

The pressure is expected to intensify further as regulatory demands around transparency, reporting and operational resilience continue to grow.

75%

75% say the next wave of regulatory change will penalise banks still relying on manual workflows.

Exceptions and reconciliation sit at the sharp end of that burden. While banks recognise the need to reconcile faster, the data shows real-time processing is still out of reach for most institutions (***Fig 5.***).

77%

77% think real-time payments are impossible without real-time matching and reconciliation – and most banks are not ready.

78%

78% say many exceptions could be prevented with better data and automation.

29%

29% say it typically takes more than a day to resolve a reconciliation mismatch or exception.

Fig 5. *Typical Time Taken to Resolve a Reconciliation Mismatch or Exception*

Under an hour	9%
1-4 hours	25%
Same business day	36%
1-2 days	23%
More than 3 days	6%

As delays and exceptions compound, the impact is increasingly being felt across cost, liquidity, operations and customer experience. More than half of respondents cited spiralling operational costs, while 45% reported growing exception backlogs taking days to resolve (see ***Fig 6.***).

Fig 6. *Most Significant Consequences from Manual Processing or Reconciliation Delays*

Consequences from manual processing or reconciliation delays	Respondents ranking in top 3
Operational costs spiralling	51%
Exceptions piling up and taking days to resolve	45%
Liquidity tied up because positions can't be reconciled fast enough	41%
Payment delays damaging customer trust	37%
Compliance risks from errors and misclassifications	32%
Skilled staff forced into firefighting	30%
Missed end-of-day deadlines and overnight risk exposure	27%
Cross-team friction caused by lack of trust in data	22%

"The cost of delayed modernisation is showing up through banks day-to-day operations. Manual processes create exceptions, exceptions create backlogs, and backlogs pull skilled people away from transformation work."

Nick Fernando
Co-founder, Aqua Global

Legacy infrastructure is slowing payments transformation

Legacy infrastructure, fragmented systems and operational complexity continue to slow payments transformation across the industry. Looking at the main causes of reconciliation mismatches, many banks pointed to poor-quality data, disconnected systems and inconsistent formats as the root of the problem (see ***Fig 7.***).

Fig 7. *Main Causes of Reconciliation Mismatches*

Cause	Percentage of respondents that ranked in top 3
Poor-quality or incomplete data coming from upstream systems	45%
Breaks caused by multiple versions of the "truth" across our systems	38%
Messy legacy systems that don't speak the same "data language	35%
Different teams using different formats, leading to mismatched records	35%
Weak integration between core systems and reconciliation tools	32%
Human error from manual rekeying or spreadsheet-based fixes	31%
Delays in data arriving from counterparties or internal platforms	25%
Counterparty data inconsistencies we can't easily control	25%
Lack of real-time visibility into trades, payments or balances	23%

As standards such as Swift evolve, and regulatory pressure increases, banks are finding it increasingly difficult to coordinate changes across fragmented systems and outdated messaging environments.

71%

71% say siloed systems make it impossible to view the full lifecycle of a payment in one place.

72%

72% believe reliance on legacy infrastructure will make future Swift changes harder and more expensive.

69%

69% say reliance on spreadsheets and workarounds is increasing operational risk.

75%

75% say the next wave of regulatory change will penalise banks still relying on manual workflows.

Data quality is creating additional operational strain. Poor or incomplete data continues to drive reconciliation failures, increase exception volumes and undermine confidence in payments operations more broadly.

65%

65% lose more time repairing payment data than producing it.

Poor-quality upstream data is the leading cause of reconciliation mismatches.

81%

81% believe data quality will become a bigger competitive differentiator than processing speed.

> Modernising payments infrastructure is not like switching on a new system. Many banks are managing technology that has been deeply embedded in operations for decades. Balancing that alongside rising regulatory demands, operational pressure and limited specialist skills is becoming increasingly difficult.
>
> **Nick Fernando**
> Co-founder, Aqua Global

Final thoughts: Modernising payments without starting from scratch

73%

73% of banking IT leaders think unified messaging, matching and reconciliation are no longer optional if banks want to scale.

Banks are under growing pressure to modernise payments operations while managing infrastructure that, in many cases, has been built up over decades. Legacy systems, fragmented workflows and rising expectations around real-time payments are becoming increasingly difficult to manage together.

For many institutions, replacing everything simply isn't realistic. Large-scale transformation programmes are expensive, operationally disruptive and difficult to deliver, particularly as specialist payments expertise becomes harder to retain.

That is why many banks are looking for ways to modernise incrementally – improving automation, visibility and operational control without having to rip out existing infrastructure.

Aqua Global's Aquila platform is designed around that challenge. Rather than replacing core systems, Aquila sits across payments operations to help banks automate and orchestrate processes that are still heavily dependent on manual intervention – including payment processing, messaging, reconciliation, compliance controls and exception handling.

The platform integrates with existing systems, Swift networks and payment rails, helping banks reduce fragmentation and gain a clearer real-time view of payments operations through a single operational layer. By standardising messaging and embedding controls directly into workflows, Aquila also helps reduce the operational strain created by spreadsheets, workarounds and disconnected processes.

Aqua Global supports banks by:

- Automating payment orchestration across legacy systems, Swift and domestic payment rails
- Standardising financial messaging across multiple formats, including ISO 20022
- Embedding reconciliation, validation and compliance controls directly into workflows
- Improving visibility across payments, settlements and exceptions in real time
- Reducing reliance on manual intervention, spreadsheets and fragmented operational processes
- Supporting internal teams with specialist payments expertise during implementation and beyond

For banks trying to balance modernisation with operational reality, the focus is increasingly shifting towards practical progress: improving automation where it matters most, reducing operational friction and creating stronger foundations for the future without introducing unnecessary disruption today.

Methodology
The data was gathered from December 2025 – January 2026 from 150 UK and European (75 UK and 75 European) -senior decision makers at retail and business banks who are responsible for payment messaging and processing (e.g. Heads of Payment Technology/Heads of Core Banking System/Heads of IT/Heads of Digital Banking/CIOs). The banks had a balance sheet size of £0.5bn – £5bn.

About Aqua Global

Aqua Global was founded in 1983. For over 43 years Aqua has been assisting FI's to fully automate their transaction lifecycle by providing seamless, secure and robust message automation.

Headquartered in London with support hubs in Poland and global business partners, Aqua have supported clients in over 30 countries around the world.

Our solutions support real-time operations, regulatory compliance, and scalable automation. We focus on building long-term partnerships, tackling complex operational challenges, and providing reliable, high-performance systems that assist our clients every day.

Centralised Orchestration

- Message Management
- ISO 20022 Processing
- Payments
- Treasury
- Securities
- Reconciliations
- Matching
- Incident Management
- Cash & Liquidity Management

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